

ECON 1550 International Finance

The II-XX Model

II-XX Model

- Start with minimal assumptions
 - There are numbers Y^f and XX^b such the economy tends to $Y = Y^f$ and $CA = XX^b$ in the long run
 - $Y = Y^f$ and $CA = XX^b$ are desirable economically or politically
 - Monetary and fiscal policy cannot influence Y^f and XX^b , but can affect how long it takes for Y and CA to get to Y^f and XX^b

II-XX Model

- Do not assume
 - Equilibria in any markets
 - Mechanisms for how Y and CA approach Y^f and XX^b

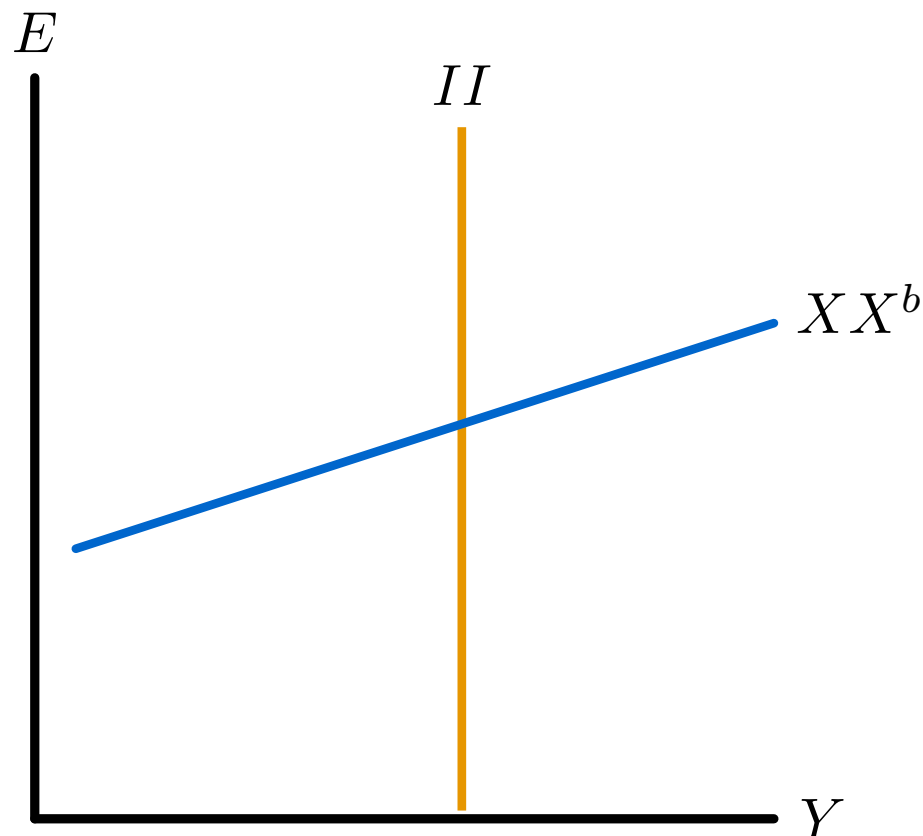
Internal and External Balance

- *II* curve: (Y, E) consistent with **internal balance**

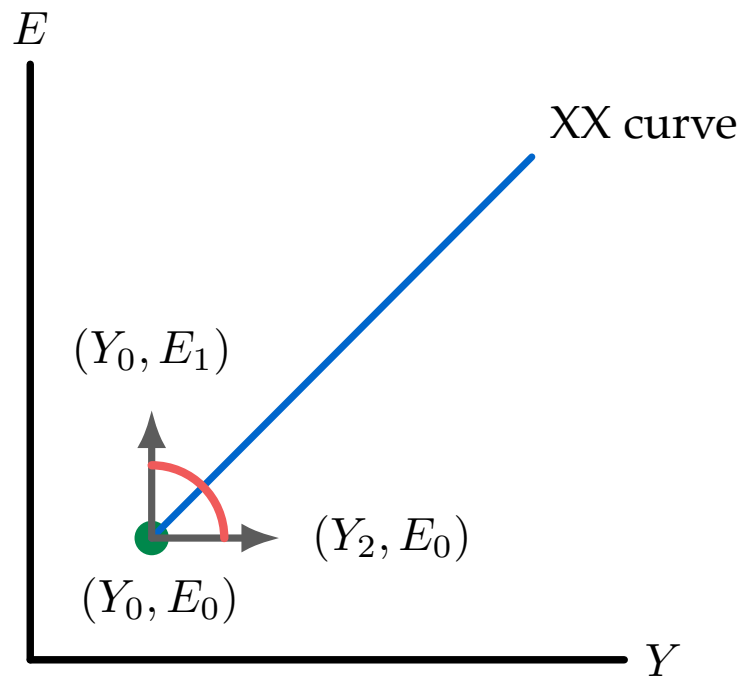
$$Y = Y^f$$

- *XX* curve: (Y, E) consistent with **external balance**

$$CA = XX^b$$

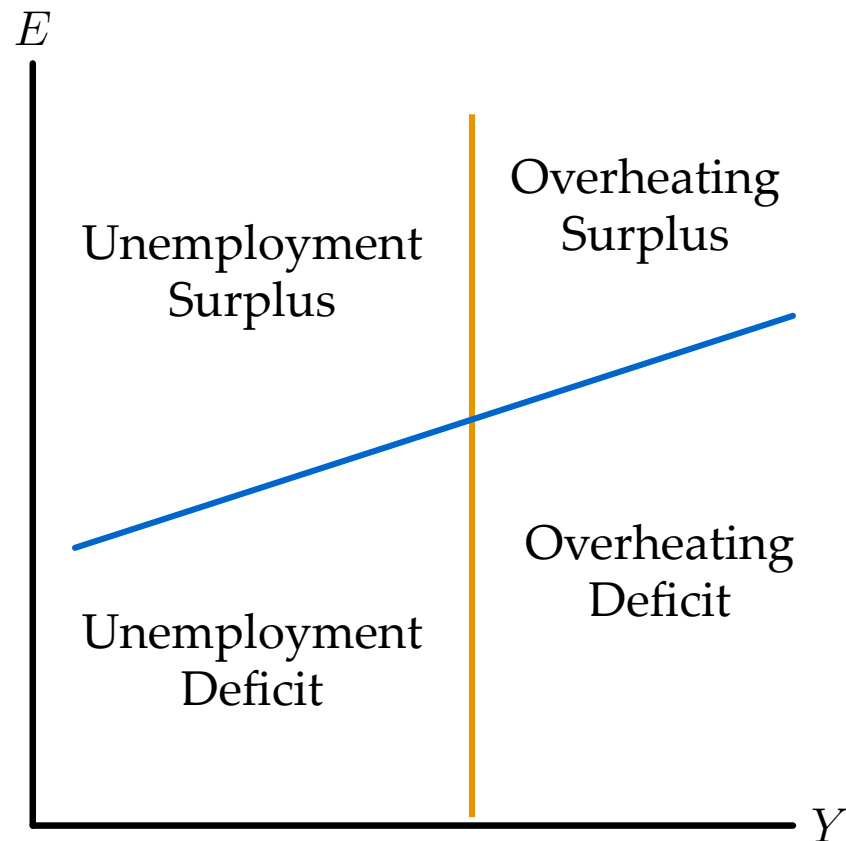


The XX curve is upward sloping



Four Zones of Discomfort

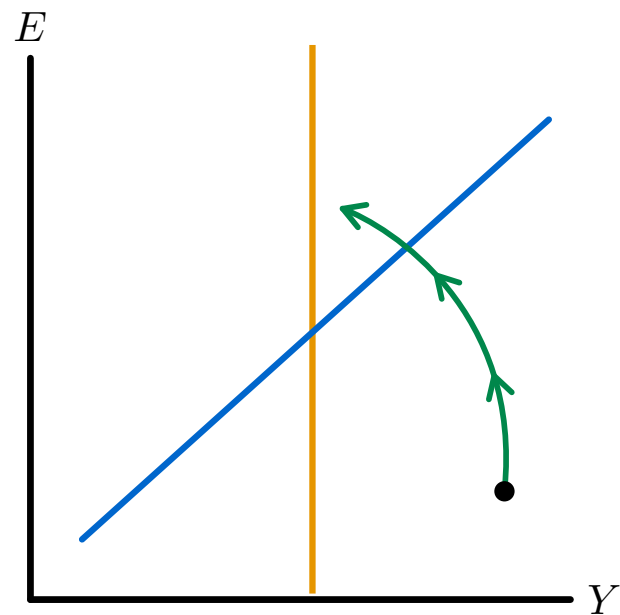
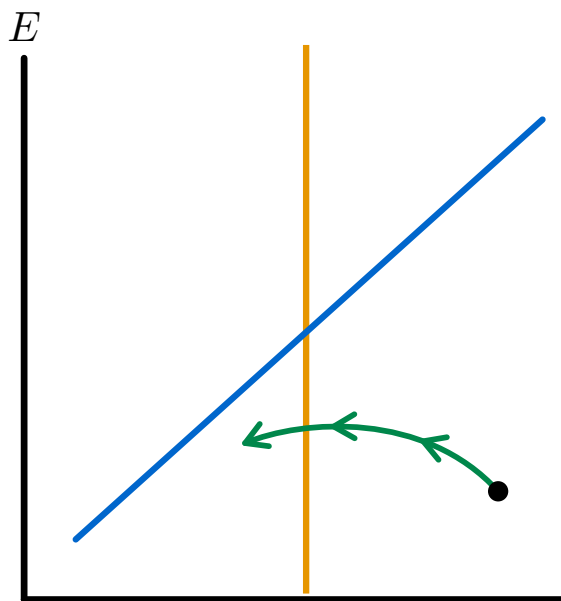
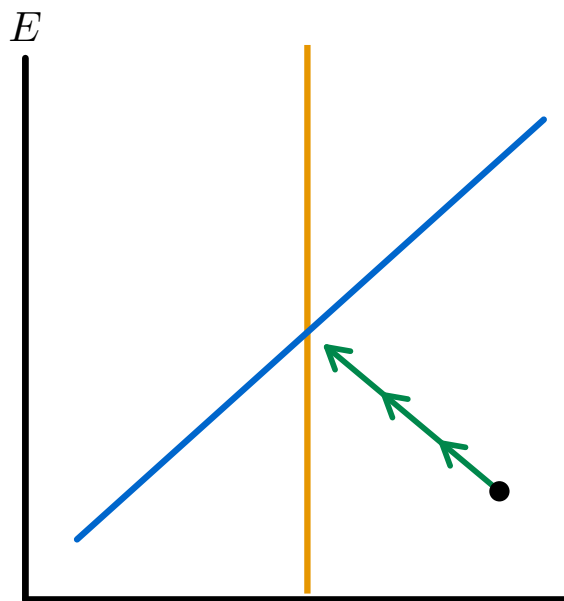
- Lack of internal balance:
 - Overheating when $Y > Y^f$
 - Unemployment when $Y < Y^f$
- Lack of external balance:
 - Deficit when $CA < XX^b$
 - Surplus when $CA > XX^b$



Dynamics

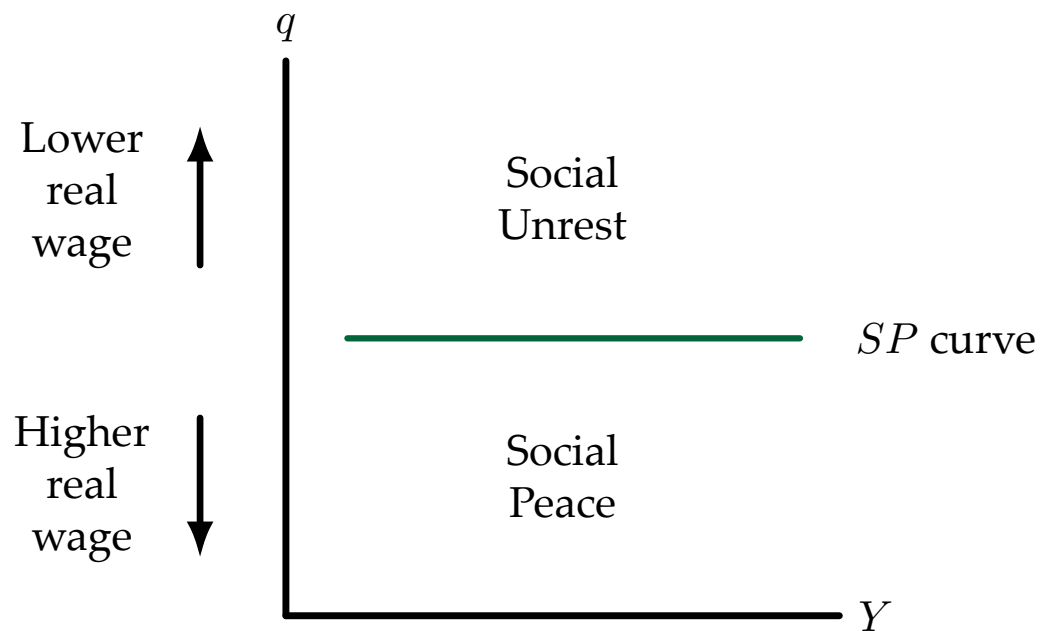
- Only dynamics specified are that, in the long run:
 - Output adjusts to Y^f
 - Current account adjusts to XX^b
- Can take a long time to return to balance
- Government policy can speed up return to balance

Possible Dynamics



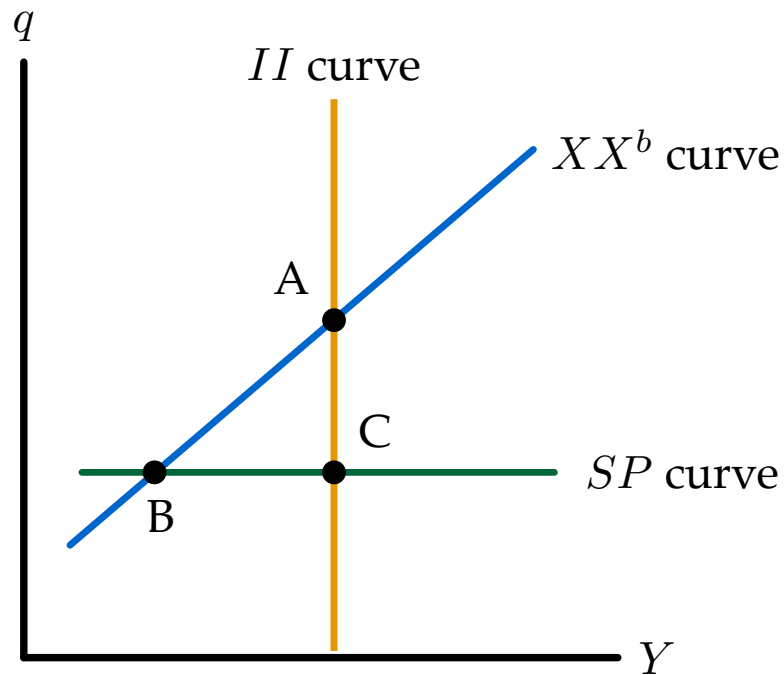
Social Peace

- When real wages are too low, **social unrest**
- Real depreciation associated with lower real wage



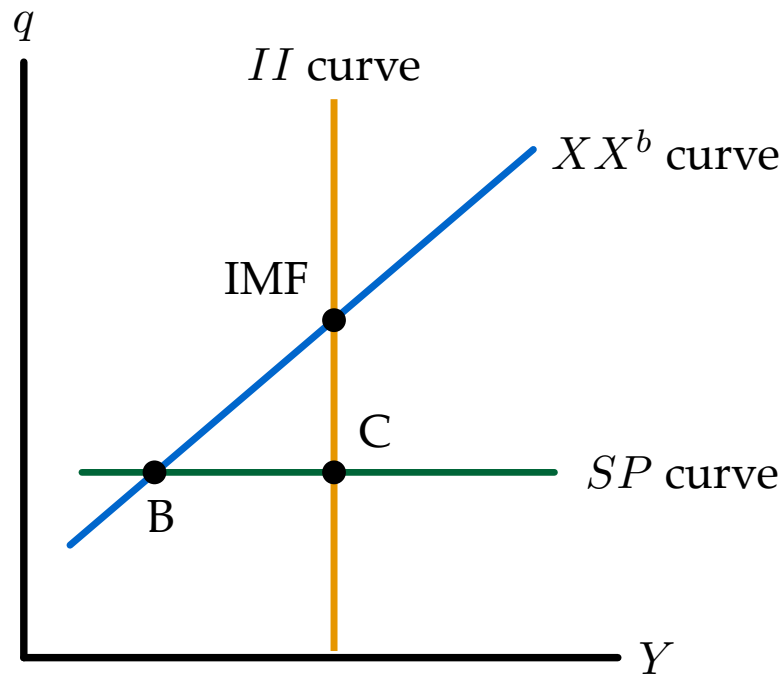
Economic and Social Objectives in Conflict

Point	Internal Balance	External Balance	Social Peace	Name
A	✓	✓	Unrest	
B	Unemployment	✓	✓	
C	✓	Deficit	✓	



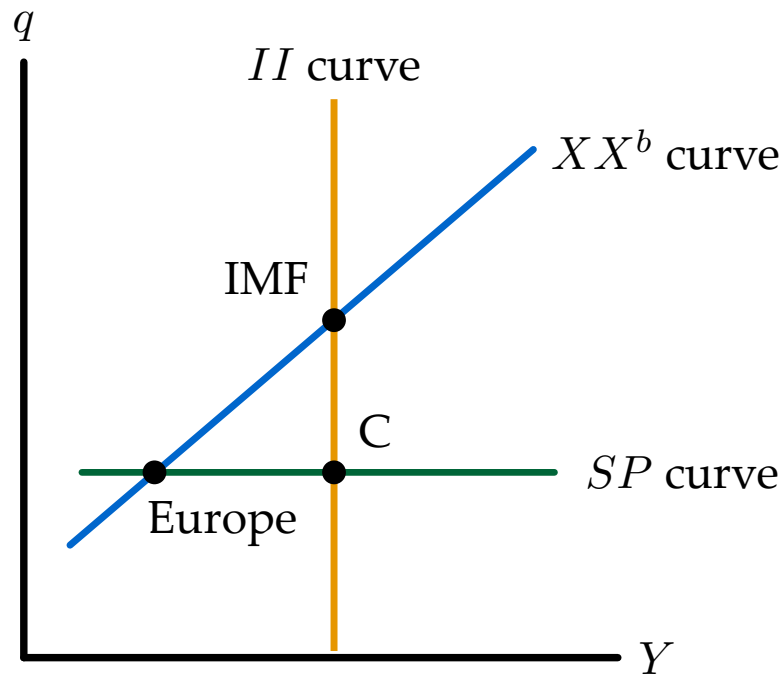
Economic and Social Objectives in Conflict

Point	Internal Balance	External Balance	Social Peace	Name
A	✓	✓	Unrest	IMF
B	Unemployment	✓	✓	
C	✓	Deficit	✓	



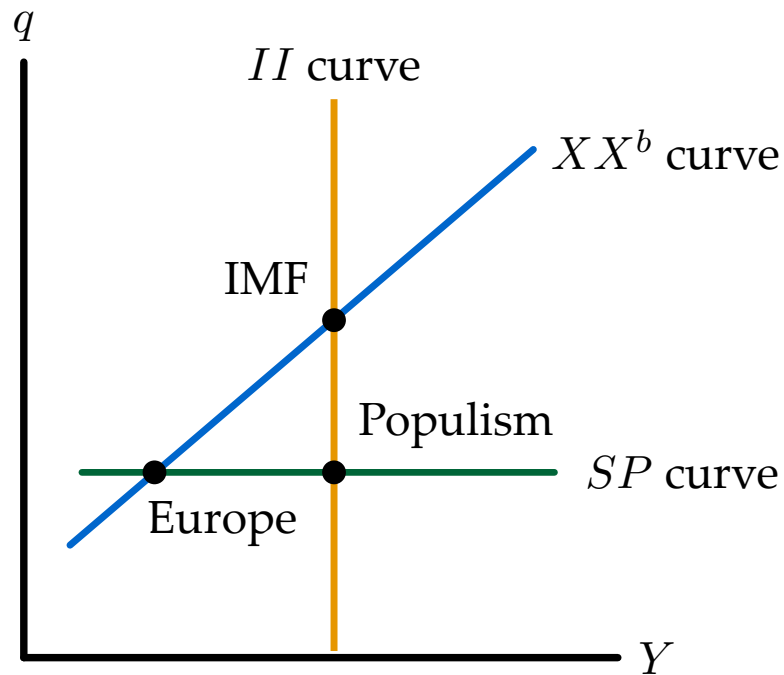
Economic and Social Objectives in Conflict

Point	Internal Balance	External Balance	Social Peace	Name
A	✓	✓	Unrest	IMF
B	Unemployment	✓	✓	Europe
C	✓	Deficit	✓	



Economic and Social Objectives in Conflict

Point	Internal Balance	External Balance	Social Peace	Name
A	✓	✓	Unrest	IMF
B	Unemployment	✓	✓	Europe
C	✓	Deficit	✓	Populism



The Latin Triangle

- Economy cycles: IMF $\rightarrow$ Europe $\rightarrow$ Populism $\rightarrow$ IMF $\rightarrow$...
- Describes Latin America *scarily* well
- No easy solutions

